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Global Markets Strategy

J.P.Morgan

15 August 2026

JPY

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/JPY	160	164	164	164
EUR/JPY	182	185	184	180
AUD/JPY	112	113	113	113
GDP (% saar)	1.0	1.3	1.0	1.2
CPI(% oya)	1.8	2.9	4.0	2.3
Policy rate (%)	1.00	1.25	1.50	1.50

Source: J.P. Morgan.

Even coordinated intervention and accelerated BOJ rate hikes are not sufficient to halt yen depreciation

- On July 30, Japan's MOF conducted yen-buying FX intervention for the first time since May 6. Even more surprising was that on July 31, the US Treasury decided to join in coordinated yen-buying intervention for the first time since June 1998. Following the intervention, USD/JPY fell temporarily to 155.23 yen, but it has since rebounded gradually and is currently trading in the 159 range. Looking at G10 FX performance since July 3, when our [previous KCV](#) was published, the JPY remains only mid-pack despite the intervention.
- Because coordinated intervention has historically been undertaken only in crisis situations, we had previously viewed the likelihood of coordinated intervention as low. Therefore, the coordinated action was clearly a surprise, demonstrating that Japanese authorities do not want USD/JPY to rally significantly beyond 160 yen, and that US cooperation was stronger than expected. Against this backdrop, market caution regarding intervention has intensified, and at least in the short term, it is reasonable to say the risk of USD/JPY rising beyond the recent high of 163.99 yen has declined. On the other hand, this series of moves also seems to suggest Japan's government's preference not to use more aggressive BOJ rate hikes as the primary tool to prevent yen weakness (intervention was carried out both on the day before and on the day when the BOJ decided to keep policy rate unchanged on July 31). If this interpretation is correct, **the factors that have been weighing on the JPY—namely deeply negative real policy rate in Japan, concerns that BOJ policy could fall behind the curve under government pressure, and fiscal concerns—appear broadly intact.**
- Meanwhile, as discussed below, the room for additional ammunitions for intervention appears to be gradually narrowing, and neither Japan nor the US seems to have an intention to push USD/JPY down sharply (for

example, below 150). In this respect, media reports that the US intervention was conducted in EUR/JPY rather than USD/JPY (and in a fairly small amount) suggest that US authorities have no intention of pushing down the USD. There is also speculation that the US has requested accelerated BOJ rate hikes as a condition for participating in yen-buying intervention, and in fact expectations for BOJ hikes have risen after the intervention. However, amid strong market concern that BOJ policy could fall behind the curve under government pressure, higher expectations for BOJ hikes—and even an actual acceleration of hikes—have become less likely to translate into yen appreciation. **In light of the above, we maintain our medium- to long-term view that the yen will continue to weaken and keep our year-end target for USD/JPY at 164 (see [note](#)).**

- Following the late-July intervention, USD/JPY fell to the low 155s on August 3rd, but it has since rebounded and is approaching 160, which had been viewed as the first “defense line.” If USD/JPY exceeds 160 without any corrective measures to address yen weakness, the market may strengthen its view that the authorities’ willingness to intervene has weakened, or that the tools available to correct yen weakness are becoming limited—potentially accelerating yen selling. Possible tools going forward include: (1) unilateral yen-buying intervention by Japan's MOF; (2) coordinated yen-buying intervention by the US Treasury; (3) increased purchases of JPY-denominated assets and sales of FX assets by GPIF; and (4) use of the FIMA repo facility (Figure 2).

Figure 2: Comparison of tools to curb yen weakness

	MOF intervention	US joint intervention	GPIF	FIMA repo
Immediate availability	○	△	○	?
No need to sell UST outright?	△	—	△	○
Potential ammunition	relatively small	relatively small in EUR/JPY	Up to \$190-222bn	\$60bn/day
memo		If they decide to move ahead with USD-selling, intervention capacity could increase substantially.	If it involves changing the basic portfolio, intervention capacity could increase. Compared with FX intervention, the flows would take longer to materialize, and the impact would be more dispersed over time.	Ultimately, the USD would need to be repaid. Cost is high

Source: J.P.Morgan

- Regarding (1), Japan's cumulative yen-buying intervention this year appears to have reached roughly ¥23–29 trillion (\$146-184 billion), already far exceeding ¥15 trillion (\$95 billion) in 2024, and as a result, FX reserves also appear to have fallen substantially (Figure 3). Further declines could trigger market speculation about reserve depletion and accelerate speculative yen selling, so it would likely be difficult to continue intervention at the pace seen so far. Indeed, if unilateral intervention were possible without limit, there would be no need for Japanese authorities to consider alternative measures with

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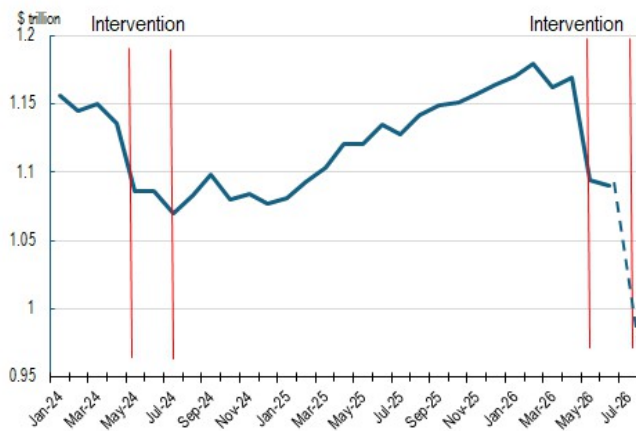
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high political and economic costs. The fact that coordination with the US and alternative measures are being explored can itself be interpreted as suggesting that the limits of unilateral intervention are approaching.

Figure 3: Japan's FX reserves are expected to decline sharply in July, due to a large amount of JPY-buying intervention

Outstanding amount of "securities and deposit" in Japan's FX reserves. July 2026 figure is an estimate by J.P.Morgan



Source: JMOF, J.P.Morgan

- **That said, to state the conclusion upfront, these alternatives are likely to be of limited effectiveness** (Figure 2). As noted above, **US intervention** is expected to have been conducted in EUR/JPY, which can be interpreted as US cooperation to help Japan resist yen weakness within the bounds of FX reserve allocation. Given the small size of US FX reserves, room for intervention in EUR/JPY is likely limited. The US is generally reluctant to intervene in FX markets, and all coordinated interventions since the mid-1990s have been one-off and small in scale. **GPIF** could raise the share of JPY assets in its portfolio to some extent without any formal policy changes; the associated JPY buying and foreign-currency selling from an allocation shift could potentially be quite large. From the perspective of immediate executability and available capacity, this is therefore a promising option (see [note](#)). However, the political difficulty of selling US Treasuries could reduce the degree of freedom for such an allocation shift. **The FIMA repo** facility has also attracted attention

as a way to raise funds for USD-selling intervention without outright sales of US Treasuries, but its primary design purpose is to serve as a backstop during USD liquidity shortages. It is not necessarily designed for FX intervention (it is, after all, temporary funding that requires repayment or rollover), and the costs are relatively high (for details, see [note](#)).

- Following yen-buying intervention since late July and Governor Ueda's remarks after the July 31 BOJ monetary policy meeting, expectations for BOJ rate hikes have increased broadly across the curve. Yet the JPY has weakened across the board after reaching a recent peak on August 3rd, and rising BOJ hike expectations have not led to yen appreciation. In fact, since the inauguration of the Takaichi administration last October, the relationship between the yen exchange rate and BOJ hike expectations—as reflected in instruments such as the 1-year forward 1-year rate—has been negatively correlated, and recent developments can be said to align with this pattern. Behind this negative correlation is the view that market participants are pricing in a scenario in which “under government pressure, BOJ monetary policy falls behind the curve; as a result, at some point in the future yen depreciation accelerates, and to stop it the BOJ is ultimately forced into relatively large rate hikes.” In other words, the causality has reversed: yen weakness → higher rate hike expectations, rather than the usual higher rate hike expectations → yen strength. **Our Japan economists recently revised their forecast to expect the BOJ to raise the policy rate to 2% by the end of next year, but we have not changed our yen-bearish view** because (1) BOJ hikes up to 2% are already broadly priced in, and (2) the negative correlation between the market expectations for BOJ hikes and the yen exchange rate is likely to persist for the time being. There are limits to what the BOJ can do on its own to change this situation. A clear message from the government side may be needed—one that dispels market concern that BOJ monetary policy will fall behind the curve, a concern rooted in government pressure not to pursue BOJ rate hikes (see [note](#)).

Figure 4: Alternative scenarios to base case view

Scenarios		Potential trigger events
Neutral	• Bullish: USD/JPY to 150 if 1) Global growth stalls and core yields reprice sharply lower; 2) Global risk off; 3) BoJ suggesting consecutive rate hikes.	• Nationwide CPI (Aug 21st) • Tokyo CPI (Aug 28th) • BoJ MPM (Sep 18th)
	• Bearish: USD/JPY to 170 if 1) The market prices Fed hike; 2) Slower than expected BoJ policy change; 3) Japan's fiscal policy becomes more expansionary	

Source: J.P. Morgan

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